

RFM Customer Segmentation: Turning 5,878 Customers into 11 Actionable Segments

Online Retail II · 2009-2011 · Snapshot 2011-12-10 · Quintile RFM scoring · 5,878 customers · £17.4M lifetime revenue

5,878	£17.4M	11	33.1%	2011-12-10
TOTAL CUSTOMERS	LIFETIME REVENUE	ACTIVE SEGMENTS	DRIVE 78.8% £	SNAPSHOT DATE

Executive Summary

- Champions + Loyal Customers (33.1% of customers, 1,947 people) drive 78.8% of all lifetime revenue — £13.69M of £17.37M.
- Champions alone (741 customers, 12.6%) account for 50.8% of revenue (£8.83M); average spend £11,919, last purchase ~8 days ago.
- Cannot Lose Them is small but urgent: 60 high-value customers, avg 486 days silent, £247K combined — ripe for win-back.
- At Risk (716 customers, 8.5% revenue) plus Need Attention (815, 3.3%) form a 1,531-customer reactivation pool worth £2.05M.

Dataset and Methodology

Source: Online Retail II (UCI), cleaned to 779,425 transactions across 5,878 unique customers (2009-12-01 to 2011-12-09). Returns, null Customer IDs and zero-price rows excluded.

Snapshot: 2011-12-10 (max InvoiceDate + 1 day) so every customer's recency is strictly positive.

Per-customer fields: recency_days, frequency (distinct invoices), monetary (sum of Quantity × Price).

Quintile scoring: each of R, F, M is split into 5 bins via pd.qcut on rank-transformed values to handle frequency=1 ties. 5 = best on each axis; rfm_sum is the integer total in [3, 15].

Segment rules are applied in priority order: Cannot Lose Them → Champions → Loyal → At Risk → Potential Loyalists → New → Promising → Need Attention → About To Sleep → Lost → Hibernating. Edge combinations (e.g. R=1,F=3,M=2) fall to Other rather than being force-fit.

The Big Picture

Revenue concentration by segment. Cell area is proportional to total lifetime revenue; the four smallest segments are listed below the chart for completeness.

Where the Revenue Lives: RFM Segment Treemap

Cell area = total lifetime revenue · 5,878 customers · £17.4M total revenue · Champions alone account for ~51%



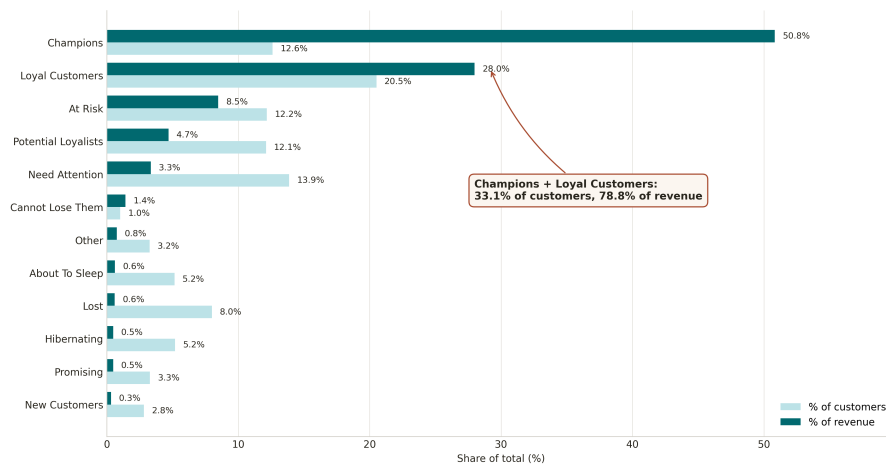
Tiny cells (left to right): About To Sleep (303 · 0.6%) · Hibernating (305 · 0.5%) · Promising (193 · 0.5%) · New Customers (166 · 0.3%)

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Pareto Finding

Pareto Check: 33% of Customers Drive 79% of Revenue

Light bar = share of customers · Dark bar = share of revenue · Segments sorted by total revenue (descending)



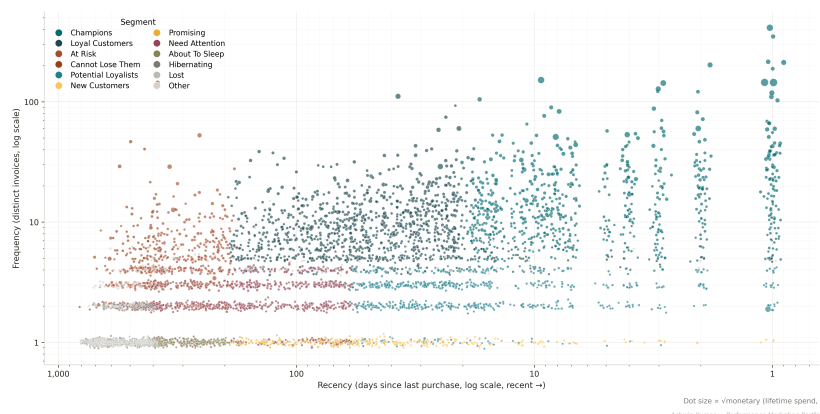
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Customer share (light) versus revenue share (dark) for every segment, sorted by revenue. The chart confirms a textbook Pareto profile: 33.1% of customers (Champions + Loyal) generate 78.8% of revenue, while the bottom seven segments together (54.6% of customers) produce only 9.4%. Marketing spend should be tilted decisively toward the top two bands.

The RFM Map

The RFM Map: Recency, Frequency, and Segment Membership

Each dot is one customer · Top-right corner = recent + frequent (Champions) · Bottom-left = lapsed + single purchase (Lost / Hibernating)



Dot size = $\sqrt{\text{monetary (lifetime spend, £)}}$
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Each dot is one customer; recency (log) on the x-axis with recent buyers on the right, frequency (log) on the y-axis, dot size proportional to $\sqrt{\text{monetary}}$. Champions cluster top-right (recent + frequent + big), Lost and Hibernating sit bottom-left (lapsed, single purchase). The horizontal striations are the natural integer bands of frequency = 1, 2, 3 — a healthy sign that the segmentation respects the underlying data shape.

Strategic Recommendations

Champions — Protect with VIP program

741 customers · £8.83M (50.8% of revenue) · avg £11,919 · last purchase ~8 days ago

Launch a tiered VIP program: early access to new SKUs, dedicated account manager for the top quintile, surprise-and-delight gifts at anniversary milestones. Goal: keep retention above 95% — churn here would erase half the book.

Cannot Lose Them — Immediate win-back

60 customers · £247K (1.4% of revenue) · avg £4,115 · 486 days silent

Hand-pick this list for one-to-one outreach this week. Personal email from a senior account manager, exclusive 25-30% discount, free-shipping reactivation code. Each recovered customer is worth ~£4,000 — even a 25% recovery rate adds £60K to FY27.

Loyal Customers — Upsell and cross-sell

1,206 customers · £4.86M (28.0% of revenue) · avg £4,031 · 9.7 orders · last seen 62 days ago

Push complementary categories with bundled offers and recommendations. Convert the top decile into Champions via personalised AOV-lift campaigns. Goal: lift average monetary by 15-20% over the next quarter.

At Risk — Personalised reactivation

716 customers · £1.47M (8.5% of revenue) · avg £2,058 · 4.5 orders · 359 days silent

Three-touch automated sequence: (1) “We miss you” email with category-relevant picks, (2) 15% off after 7 days, (3) stronger 20% off with free shipping after 14 days. Goal: 12% reactivation rate → ~£175K back in pipeline.

30-Day Action Plan

- Days 1-7 — Stand up the Cannot Lose Them list (60 names) and send personal one-to-one outreach with a 25-30% reactivation offer. Track response and recovered revenue daily.
- Days 8-21 — Launch the Champions VIP enrolment flow and the At Risk three-touch reactivation sequence. Instrument both with UTM tags so re-segmentation in 30 days shows segment migration.
- Days 22-30 — Refresh the RFM snapshot, compare segment transitions vs. baseline, and report recovered revenue, lift in Loyal→Champions promotions, and cost per recovered customer.